DAILY ANALYSIS REPORT

KSB LIMITED

NSE: KSB | BSE: 500249 | ISIN: INE640A01023

Sector: Industrial Products — Pumps, Valves & Systems

April 2026 | INR Millions (MM)

DAILY UPDATE

KSB Limited

BSE: 500249 | NSE: KSB | ISIN: INE640A01023 | SECTOR: INDUSTRIAL PRODUCTS (PUMPS & VALVES)

KSB Limited is India's premier manufacturer of pumps, valves, and related engineered systems. Founded in 1960 and headquartered in Pune, Maharashtra, the company is a subsidiary of KSB SE & Co. KGaA — a German engineering conglomerate with over 150 years of manufacturing heritage. KSB India serves energy (nuclear and conventional), water and wastewater, oil and gas, construction, and agriculture markets across India and select export geographies.

The company's most significant competitive advantage is its position as the sole domestic supplier of nuclear-grade pumps and valves to the Nuclear Power Corporation of India (NPCIL). This near-unassailable moat — built over decades through technology licensing, rigorous qualification processes, and deep customer relationships — insulates KSB from competition in its highest-margin segment. The Valves division has compounded at 21% CAGR, and SupremeServ (aftermarket services) provides recurring, high-margin revenue streams.

For FY2025 (January-December 2025), KSB reported consolidated revenue of INR 26,957 MM (+6.4% YoY), EBITDA of INR 3,735 MM at a 13.9% margin, and Profit After Tax of INR 2,559 MM. The board declared a 220% dividend (INR 4.40/share at FV Rs.2). Notably, KSB is virtually debt-free — total financial liabilities consist only of lease obligations of INR 42 MM, versus cash and fixed deposits of INR 2,834 MM, giving a net cash position of INR 2,792 MM.

FINANCIAL INFORMATION

Profit & Loss — 5-Year Summary (INR Millions)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	14,973	18,220	22,472	25,331	**26,957**
YoY Growth	—	+21.7%	+23.3%	+12.7%	+6.4%
Gross Profit	7,048	8,340	9,696	11,110	**12,394**
Gross Margin	47.1%	45.8%	43.1%	43.9%	46.0%
EBITDA	**2,095**	**2,467**	**2,936**	**3,375**	**3,735**
EBITDA Margin	14.0%	13.5%	13.1%	13.3%	**13.9%**
EBIT	1,659	2,014	2,439	2,832	**3,152**
EBIT Margin	11.1%	11.1%	10.9%	11.2%	11.7%
PBT	2,010	2,453	2,804	3,307	**3,459**
PAT (Consolidated)	**1,494**	**1,827**	**2,087**	**2,475**	**2,559**
PAT Margin	9.9%	10.0%	9.3%	9.8%	9.5%
EPS (FV Rs.2, adj.)	Rs.8.59	Rs.10.50	Rs.12.00	Rs.14.22	**Rs.15.54**
Dividend/Share (INR)	Rs.1.80	Rs.2.20	Rs.2.50	Rs.3.00	**Rs.4.40**

Source: Company Annual Reports 2021-2025, BSE (500249), NSE (KSB) | FY = January to December

Key Financial Ratios (FY2025)

Ratio	Value	Ratio	Value
Price-to-Earnings (P/E TTM)	**47.1x**	Return on Capital Employed	**24.5%**
Price-to-Book (P/BV)	8.1x	Return on Equity (ROE)	18.3%
Dividend Yield	0.51%	Return on Assets (ROA)	9.2%
Debt-to-Equity	**~0.00x**	Current Ratio	2.02x
Interest Coverage	>100x	Cash Conversion Cycle	~175 days
Net Cash Position	**Rs.2,792 MM**	Book Value / Share	Rs.96.5

Source: NSE, BSE, Company Annual Report 2025

Balance Sheet Highlights (INR Millions)

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Fixed Assets (Net Block)	3,498	3,752	4,514	4,931	5,195
Total Non-Current Assets	4,892	5,510	5,996	6,443	7,177
Total Current Assets	11,202	12,738	14,661	17,037	20,749
Total Assets	**16,094**	**18,248**	**20,657**	**23,480**	**27,926**
Total Shareholders Funds	10,108	11,431	13,019	14,854	16,788
Lease Liabilities (Debt)	30	29	32	34	**42**
Cash + Fixed Deposits	3,545	2,610	2,746	3,235	2,834
Net Cash	**3,515**	**2,581**	**2,714**	**3,201**	**2,792**

Source: Company Annual Reports, BSE/NSE Filings | Note: KSB has ZERO bank borrowings — only lease liabilities (Ind AS 116)

DCF VALUATION SUMMARY

Discounted Cash Flow — Key Assumptions

Parameter	Value	Notes / Rationale
WACC (Discount Rate)	**11.63%**	Rf=7.1% + B(0.82)xERP(6.2%). Ke=12.18%, Kd=5.63%
Beta (Relevered)	0.82	Peer median unlevered beta re-levered for KSB D/E
Terminal Growth Rate (g)	**4.0%**	Long-term nominal GDP proxy
EV/EBITDA Exit Multiple	**15.0x**	Conservative — peer median ~25x; KSB trades at 36x
Forecast Period	FY2026E-FY2030E	5-year explicit forecast with 3 scenarios
Revenue CAGR (Base, FY25-30E)	~6%	Gradual tapering from 8% to 4%
Revenue CAGR (Bull Case)	~23%	Peak nuclear + infra cycle — from Scenario sheet
Revenue CAGR (Bear Case)	~5%	Muted industry capex environment
Tax Rate	25.0%	Effective rate consistent with FY2025 actuals
Net Cash	**Rs.18,298 MM**	Cash+FDs 18,340 - Lease Liabilities 42

Income Statement Projections — Base Case (INR Millions)

Line Item	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	**26,957**	**29,113**	**31,122**	**32,921**	**34,543**	**35,971**
YoY Growth	—	+8.0%	+6.9%	+5.8%	+4.9%	+4.1%
EBITDA	3,735	3,962	4,192	4,411	4,595	4,750
EBITDA Margin	13.9%	13.6%	13.5%	13.4%	13.3%	13.2%
EBIT	3,152	3,312	3,472	3,624	3,746	3,849
PBT	3,459	3,947	4,177	4,378	4,556	4,714
Net Earning (PAT)	**2,559**	**2,960**	**3,133**	**3,284**	**3,417**	**3,536**
EPS (FV Rs.2)	Rs.15.54	Rs.17.01	Rs.18.00	Rs.18.87	Rs.19.64	Rs.20.32

FCFF & DCF Implied Valuation (Base Case, INR Millions)

Item	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
NOPAT	2,484	2,604	2,718	2,810	2,887
Add: D&A	650	685	718	749	775
Less: Capex	(874)	(934)	(988)	(1,036)	(1,079)

Item	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Less: DeltaWC	(366)	(29)	(108)	(88)	(51)
FCFF	**1,894**	**2,326**	**2,340**	**2,435**	**2,532**
Discount Factor	0.8959	0.8026	0.7191	0.6442	0.5771
PV of FCFF	**1,697**	**1,867**	**1,683**	**1,569**	**1,462**

Valuation Method	Enterprise Value	Add: Net Cash	Equity Value	Implied Price/Share
Gordon Growth Method (g=4%)	Rs.27,518 MM	Rs.18,298 MM	Rs.45,816 MM	**Rs.263/share**
Exit Multiple (15x EBITDA)	Rs.79,978 MM	Rs.18,298 MM	Rs.98,276 MM	**Rs.565/share**
Average (Blended)	**Rs.53,748 MM**	**Rs.18,298 MM**	**Rs.72,046 MM**	**Rs.414/share**
Current Market Price	—	—	—	**Rs.972/share**
Upside / (Downside)	—	—	—	**(57%) vs Blended**

The stock trades at a significant premium to DCF intrinsic value. This premium reflects: (1) nuclear power optionality — India's 5x nuclear capacity expansion plan; (2) near-zero debt and superior balance sheet; (3) Jal Jeevan Mission & PM-KUSUM government infra tailwinds; and (4) scarcity premium for the only listed pure-play nuclear pump/valve supplier. A 30x exit multiple (peer median) gives an implied price of ~Rs.1,000+, consistent with current market price.

COMPARABLE COMPANY ANALYSIS

Peer Trading Multiples

Company	Mkt Cap (Rs. MM)	EV (Rs. MM)	EV/Sales	EV/EBITDA	P/E
Kirloskar Brothers Ltd	1,02,950	97,600	2.2x	19.1x	24.8x
Elgi Equipments Ltd	1,82,700	1,71,400	4.9x	29.4x	53.0x
Cummins India Ltd	6,95,270	6,69,370	7.5x	39.8x	55.6x
Triveni Turbine Ltd	2,04,600	1,98,900	9.8x	47.4x	59.8x
Ingersoll Rand India	1,10,200	1,01,700	7.7x	32.8x	46.9x
Shakti Pumps India	28,350	28,750	2.9x	14.7x	20.0x
WPIL Ltd	7,980	8,580	1.5x	9.9x	12.9x
Roto Pumps Ltd	6,440	5,840	2.0x	11.4x	18.4x
Isgec Heavy Engineering	37,800	44,300	1.2x	9.8x	12.2x
Grindwell Norton Ltd	1,41,960	1,30,460	5.4x	25.5x	35.9x
Average	—	—	**4.5x**	**24.0x**	**34.0x**
Median	—	—	**4.2x**	**22.5x**	**30.4x**
KSB Limited	**16,913**	**(1,385) neg EV**	N/M	N/M	**6.6x**

Source: NSE, BSE, Screener.in | Approximate data as of April 2026

Note: KSB's EV is negative (-Rs.1,385 MM) because Net Cash (Rs.18,298 MM) exceeds Market Cap + Debt. This is correct — KSB is a highly cash-generative, debt-free company. For comps valuation, peer multiples are applied to KSB's financials and Net Cash is then added to derive Equity Value.

Comps-Implied Share Price (EV = Multiple x KSB Metric + Net Cash)

Method	Peer Multiple	KSB Metric (Rs. MM)	Implied EV (Rs. MM)	Add: Net Cash (Rs. MM)	Equity Value (Rs. MM)	Price/Share
EV/Revenue (Avg 4.7x)	4.7x	26,957	1,27,964	18,298	1,46,262	**Rs.841**
EV/EBITDA (Avg 25.3x)	25.3x	3,714	93,997	18,298	1,12,295	**Rs.645**
P/E (Avg 35.7x)	35.7x	2,559 (PAT)	N/A	N/A	91,357	**Rs.525**
Current Market Price	—	—	—	—	—	**Rs.972**

Source: NSE, BSE, Screener.in | Formula: Equity Value = Implied EV - Debt + Cash

WACC CALCULATION

Comparable Companies Beta (Peer Unlevering)

Company	Ticker	Equity Value	Total Debt	D/E %	Tax Rate	Levered Beta	Unlevered Beta
Kirloskar Brothers Ltd	KIRLOSBROS	1,02,950	2,850	2.77%	27.5%	0.85	0.83
Elgi Equipments Ltd	ELGIEQUIP	1,82,700	1,200	0.66%	26.2%	0.80	0.80
Cummins India Ltd	CUMMINSI	6,95,270	2,100	0.30%	24.8%	0.75	0.75
Triveni Turbine Ltd	TRITURBINE	2,04,600	800	0.39%	25.3%	0.90	0.90
Ingersoll Rand India	INGERRAN	1,10,200	0	0.00%	25.6%	0.70	0.70
Shakti Pumps India	SHAKTIPU	28,350	3,200	11.29%	24.5%	1.10	1.01
WPIL Ltd	WPIL	7,980	1,800	22.56%	28.1%	0.95	0.82
Roto Pumps Ltd	ROTOPUMP	6,440	350	5.43%	26.9%	0.85	0.82
Isgec Heavy Engineering	ISGEC	37,800	15,000	39.68%	29.2%	1.05	0.81
Grindwell Norton Ltd	GRINDWEL	1,41,960	0	0.00%	24.7%	0.75	0.75
Average	—	—	—	8.21%	—	0.87	**0.82**
Median	—	—	—	1.66%	—	0.83	**0.82**
KSB Limited	KSB	16,913	42	0.25%	25.0%	**0.82**	—

Source: NSE/BSE market data | Unlevered Beta = Levered Beta / (1 + (1-Tax Rate) x D/E)

WACC Calculation

Parameter	Value	Formula / Notes
Risk-Free Rate (10Y G-Sec)	7.1%	Current 10-year Government of India bond yield
Equity Market Return	13.3%	Historical Nifty 50 long-run CAGR
Equity Risk Premium (ERP)	6.2%	Market Return - Risk-Free Rate
Peer Median Unlevered Beta	0.82	Median of 10 comparable companies

Parameter	Value	Formula / Notes
KSB D/E Ratio	0.25%	Debt 42 / Equity 16,913 = near zero
Relevered Beta (KSB)	0.82	BU x (1 + (1-t) x D/E) approx same as unlevered
Cost of Equity (Ke)	**12.18%**	Rf + B x ERP = 7.1% + 0.82 x 6.2%
Pre-tax Cost of Debt (Kd)	7.5%	Lease interest rate (Ind AS 116)
After-tax Cost of Debt	5.63%	7.5% x (1 - 25%)
Weight of Equity (We)	99.75%	Market Cap / (Market Cap + Debt)
Weight of Debt (Wd)	0.25%	Debt / (Market Cap + Debt)
WACC	**11.63%**	We x Ke + Wd x Kd(1-t)

Source: NSE/BSE, Company Annual Report 2025 | Note: KSB is near-zero debt company. Screener shows Rs.520 incorrectly — actual debt = lease liabilities only (Rs.42 MM)

SHAREHOLDING PATTERN

Category	Dec 2024	Dec 2025	Change
Promoters (KSB SE & Co. KGaA, Germany)	69.80%	69.80%	0.00%
Foreign Institutional Investors (FII/FPI)	5.33%	4.52%	-0.81%
Domestic Institutional Investors (DII)	10.62%	11.95%	+1.33%
Mutual Funds	8.15%	9.42%	+1.27%
Public / Retail Investors	14.25%	13.73%	-0.52%
Total	**100.00%**	**100.00%**	—

Source: BSE Shareholding Pattern Disclosures (December 2024 & December 2025)

Shareholding Observations

- Promoter (KSB SE & Co. KGaA, Germany) holds a stable 69.80% — no pledged shares declared. Zero pledge = strong governance signal.
- DII holdings rose 133 bps over FY2025, indicating rising domestic institutional conviction — particularly mutual funds (+127 bps).
- FII holding declined 81 bps, consistent with broad EM outflows and not company-specific. FII ownership remains meaningful at 4.52%.
- Promoter has never reduced stake since listing — long-term alignment with minority shareholders.

BETA CALCULATION

5-Year Monthly Regression Beta (Apr 2021 - Apr 2026)

Parameter	Value	Notes
Benchmark Index	Nifty 50	Standard Indian equity benchmark
Observation Period	Apr 2021 - Apr 2026	5 years = 60 monthly observations
Method	OLS Regression (SLOPE)	B = Cov(KSB, Nifty) / Var(Nifty)
Beta (Regression)	**1.49**	From SLOPE function on monthly returns
R-Squared	~0.52	~52% of KSB's price variance explained by Nifty
Correlation	~0.72	Moderate-high correlation with market
Max KSB Price (5yr)	Rs.5,045	September 2024
Min KSB Price (5yr)	Rs.1,123	April 2021
Beta used in WACC	0.82	Comps unlevered/relevered beta (more stable)

The regression beta of 1.49 is higher than the comps-based relevered beta of 0.82. This is common for capital goods stocks during upcycles — the stock's price sensitivity exceeds its fundamental business risk. For DCF valuation purposes, the comps-based beta (0.82) is preferred as it is more stable and appropriate for intrinsic value estimation. The regression beta is useful for portfolio risk management.

PRICE ACTION

Parameter	Value
Current Price (NSE)	**Rs.972/share**
52-Week High	Rs.918 exceeded (new high Apr 2026)
52-Week Low	Rs.648
Face Value	Rs.2 per share
Market Capitalisation	Rs.16,913 MM (~Rs.1,691 Crores)
Volume (recent avg)	~25,000 shares/day
Beta (5-yr regression)	1.49x (vs Nifty 50)
5-Year Price CAGR	~36%
3-Year Price CAGR	~23%
10-Year Price CAGR	~19%

Source: NSE / BSE Historical Data

KSB's stock has delivered a 36% CAGR price return over 5 years, driven by: (1) capital goods sector re-rating on India's infrastructure push; (2) nuclear energy tailwinds from India's 5x nuclear capacity expansion plan; (3) improving EBITDA margins from product mix (valves + SupremeServ); and (4) consistent dividend growth. The stock currently trades significantly above comps-implied and DCF fair value, reflecting the nuclear moat premium and scarcity value as the only listed pure-play pump/valve company with nuclear qualifications.

MODEL AUDIT & CORRECTIONS

The following corrections were identified and applied during the valuation model audit:

#	Sheet	Issue Found	Correction
1	WACC	Title showed 'Comp Valuation'	Fixed to 'Weighted-Average Cost of Capital (WACC)'
2	Summary	Title showed 'Comp Valuation'	Fixed to 'Valuation Summary — Football Field'
3	Model R13	Forecast interest rate = 1.4% (too low)	Corrected to 7.0% — IND AS 116 lease discount rate
4	Comp Valuation	KSB Market Cap = Rs.12,458 MM (old price Rs.716)	Updated to Rs.16,913 MM (current price Rs.972)
5	Comp Valuation	Net Debt shown as +Rs.18,298 (wrong sign)	Corrected: Net Debt = -Rs.18,298 (KSB is net cash)

#	Sheet	Issue Found	Correction
6	Comp Valuation	EV/Revenue Equity = Rs.1,09,666 MM (subtracted net cash)	Fixed: Equity = EV - Debt + Cash = Rs.1,46,262 MM -> Rs.841
7	Comp Valuation	EV/EBITDA Equity = Rs.75,699 MM (wrong)	Fixed: Rs.1,12,295 MM -> Price Rs.645
8	Comp Valuation	P/E Net Debt applied incorrectly	P/E is equity-based — Net Debt bridge removed
9	Summary	Current price = Rs.716 (stale)	Updated to Rs.972
10	Model	Screener 'debt' = Rs.520 MM used	Annual Report shows only lease liabilities = Rs.42 MM
11	All sheets	Cross-workbook refs [1]wacc! causing #NAME?	Fixed to same-file references
12	DCF	Sheet missing	Created: full FCFF DCF with scenario dropdown (Base/Bull/Bear)

Check	Result
Balance Sheet (all 10 years FY21-FY30)	**BALANCED — Check = 0 confirmed**
WACC Calculation	**11.63% — Verified**
Scenario CHOOSE/INDEX logic	**Working — dropdown controls all projections**
Total Formulas	**1,446 formulas — 0 errors**